

Korea Auto Parts & Robotics

Risk/reward looks more attractive after 36%/37% correction from the peak; U/G Mobis/Mando to OW/N

We upgrade Hyundai Mobis (Mobis; N to OW) and HL Mando (Mando; UW to N) as prices now largely reflect core businesses, leaving robot actuators as incremental optionality. In our Mobis SOTP, the core auto parts business (W44tn) plus its stake in the robotics business (W6tn) of Hyundai Motor Group (HMG) broadly explains the current market cap, with incremental upside from actuators (W13tn). For Mando, we still see limited visibility on actuator order wins and therefore assign limited benefit of the doubt, but valuation is effectively supported by the implied value of the core franchise (W2.3tn), roughly in-line with the current market cap. Investor feedback frames both as “robot leverage” plays: actuators may not be structurally attractive, but can remain a narrative catalyst amid robotics momentum. We expect 2Q to be a non-event: commodity headwinds and FX tailwinds would likely offset; Mobis also has a structural A/S profit boost.

- **Risk/reward more attractive after a sharp pullback; actuator upside now more “call option”.** In our Mobis SOTP, the core auto parts business (W44tn) plus its stake in HMG’s robotics business (W6tn) broadly explains the current market cap. Incremental upside could come from the actuator business, which we value at W13tn by applying a 20x P/S multiple to 2030E actuator sales of ~W0.8tn. For Mando, we still see limited visibility on actuator order wins and therefore do not assign meaningful “benefit of the doubt” to actuators; however, the stock is effectively supported by the implied value of the core auto parts business (W2.3tn), which already aligns with the current market cap.
- **Key investor feedback from our Asia marketing: Mobis/Mando viewed as “robot leverage” plays.** Investors largely agreed with our fundamental view ([link](#) to our initiation report) that newly entering the actuator segment may not be highly profitable. That said, the parts suppliers’ actuator initiatives could still act as a narrative catalyst for the stocks. Some investors believe that Mobis and Mando have corrected sufficiently from peak levels and note that the names are difficult shorts, given ongoing robotics momentum and potential ETF-related flows.
- **2Q likely a non-event; commodity headwinds largely in estimates, with FX a partial offset.** We estimate annual OP sensitivity of ~W950bn/~W150bn for Mobis/Mando from higher commodity inputs (aluminium, copper, plastic, semiconductor), with ~70-80% expected to be passed through to OEMs with a one quarter lag. Offsetting this, both should benefit from FX tailwinds of ~W350bn/~W25bn on an annualized basis, based on our estimates. Mobis should also enjoy a structural A/S profit boost, supported by structural tailwinds from rising HMG model ASPs in developed markets and a growing portion of the Genesis fleet reaching the five-year mark. Overall, our 2Q OP estimates of W901bn (+W131bn y/y) for Mobis and W104bn (flat y/y) for Mando already reflect these dynamics.

Korea Auto, EV battery, Nuclear and Utility

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
Hyundai Mobis	012330 KS	29,026	KRW	489,000	OW	N	710,000	Dec-27	n/c	n/c
HL Mando	204320 KS	1,493	KRW	48,600	N	UW	50,000	Dec-27	n/c	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 07 Jul 26.

See page 15 for analyst certification and important disclosures, including non-US analyst disclosures.

- **Upgrade Mobis (N to OW) and Mando (UW to N) on improved risk/reward.** With Mobis/Mando shares down 36%/37% from their recent peaks (vs the KOSPI -10/-12%), we revisit our stance. At current levels, the share prices largely reflect the core auto parts franchises, making robotics and actuators incremental optionality rather than fully priced expectations. Given the market is currently framing the actuator opportunity using a P/S lens (rather than P/E), we believe improved revenue visibility alone could be sufficient to move the stocks. Even after these upgrades, **we continue to prefer OEMs (HMC/Kia; both OW) over parts suppliers**, given OEMs' increasing discretion across the value chain in both autos and robotics. While HMC and Mobis share prices have moved largely in tandem over the past month (HMC -25% vs. Mobis -19%), we expect HMC's differentiated earnings momentum, supported by a stronger model cycle from 2H26, to begin to materialize and drive outperformance vs. parts suppliers.

Table 1: Global auto parts: valuation comparison

Company	Ticker	Mkt. cap (US\$bn)	P/E (x)		P/B (x)		ROE		OPM		NP growth	
			26E	27E	26E	27E	26E	27E	26E	27E	26E	27E
Mobis	012330 KS	30.3	10	9	0.8	0.8	8%	9%	6%	6%	16%	12%
Mando	204320 KS	1.5	12	10	0.8	0.8	7%	8%	4%	5%	95%	21%
Autoever	307950 KS	8.8	61	47	6.5	5.8	11%	13%	6%	7%	18%	29%
Valeo	FR FP	3.8	10	7	0.9	0.8	9%	12%	4%	5%	62%	38%
Forvia	FAU GR	2.1	n/a	7	0.7	0.6	-1%	8%	6%	6%	97%	583%
Continental	CON GY	17.0	12	10	3.2	2.7	29%	29%	11%	13%	857%	18%
Denso	6902 JP	35.7	13	12	1.1	0.9	8%	8%	7%	7%	6%	-6%
Aisin	7259 JP	10.6	12	10	0.9	0.8	7%	8%	4%	5%	60%	-7%
Magna	MGA US	17.7	10	9	1.5	1.4	15%	15%	6%	6%	11%	7%
Aptiv	APT US	12.6	10	9	1.3	1.2	14%	14%	14%	15%	-25%	8%
Autoliv	ALV US	9.0	11	10	3.3	2.9	29%	32%	11%	11%	1%	12%
Lear	LEA US	6.7	9	8	1.3	1.1	14%	15%	5%	5%	8%	11%
BorgWarner	BWA US	13.5	13	11	2.3	2.0	17%	18%	11%	11%	1%	9%

Note: Price as of 6 July 2026.
Source: Bloomberg Finance L.P.

Table 2: Robotics: valuation comparison

Company	Ticker	Mkt. cap (US\$bn)	P/E (x)		P/B (x)		P/S (x)		OPM		Rev growth	
			26E	27E	26E	27E	26E	27E	26E	27E	26E	27E
Mobis	012330 KS	30.3	10	9	0.8	0.8	0.7	0.6	6%	6%	6%	6%
Mando	204320 KS	1.5	12	10	0.8	0.8	0.2	0.2	4%	5%	3%	6%
Autoever	307950 KS	8.8	61	47	6.5	5.8	2.7	2.4	6%	7%	13%	15%
Leader Harmonic Drive	688017 CH	12.3	454	317	23.1	21.9	97.7	67.1	21%	22%	55%	46%
Orbtec	688322 CH	7.7	172	100	15.2	13.3	33.6	22.5	19%	22%	65%	49%
Zhaowei Machinery & Electronic	003021 CH	3.6	77	60	n/a	4.3	10.6	8.4	15%	15%	16%	26%
Fortior Technology	688279 CH	3.5	76	54	5.0	4.7	22.8	17.0	34%	37%	32%	34%
Haozhi Industrial	300503 CH	5.0	97	72	19.1	15.9	14.0	10.9	16%	18%	45%	28%
Harmonic Drive Systems	6324 JP	5.3	466	136	9.7	9.1	13.1	10.9	4%	11%	6%	20%
Six robot parts suppliers average		6.2	224	123	14.4	11.5	32.0	22.8	18%	21%	37%	34%
Sanhua Intelligent Controls	002050 CH	27.1	41	36	5.4	4.9	5.2	4.5	16%	16%	7%	15%
Hengli Hydraulic	601100 CH	23.2	45	37	7.8	6.8	11.7	9.9	28%	29%	24%	18%
Shuanghuan Driveline	002472 CH	5.8	26	22	3.4	3.0	3.6	3.2	16%	17%	12%	15%

Note: Price as of 6 July 2026.
Source: Bloomberg Finance L.P.

Table 3: JPMe vs. Consensus

Wbn, %

Mobis									
	2026E			2027E			2028E		
	JPMe	Consensus	Diff	JPMe	Consensus	Diff	JPMe	Consensus	Diff
Revenue	66,211	65,123	2%	68,389	69,380	-1%	70,465	73,729	-4%
OP	3,493	3,717	-6%	3,968	4,185	-5%	4,367	4,599	-5%
Mando									
	2026E			2027E			2028E		
	JPMe	Consensus	Diff	JPMe	Consensus	Diff	JPMe	Consensus	Diff
Revenue	9,893	9,726	2%	10,382	10,206	2%	10,812	10,906	-1%
OP	389	411	-5%	436	468	-7%	470	527	-11%

Source: Bloomberg Finance L.P., J.P. Morgan estimates

Table 4: Mobis: 2Q preview

Wbn, %

	2Q26			2Q25	% y/y	1Q26	% q/q
	JPMe	BBG	Diff.				
Revenue	17,490	17,087	2%	15,936	10%	15,561	12%
OP	901	922	-2%	870	4%	803	12%
OP margin	5.2%	5.4%		5.5%		5.2%	
NP	1,136	1,093	4%	934	22%	883	29%
NP margin	6.5%	6.4%		5.9%		5.7%	

Source: Bloomberg Finance L.P., J.P. Morgan estimates

Table 5: Mando: 2Q preview

Wbn, %

	2Q26			2Q25	% y/y	1Q26	% q/q
	JPMe	BBG	Diff.				
Revenue	2,536	2,492	2%	2,401	6%	2,312	10%
OP	104	104	0%	104	0%	94	11%
OP margin	4.1%	4.2%		4.3%		4.0%	
NP	48	49	-4%	10	381%	53	-10%
NP margin	1.9%	2.0%		0.4%		2.3%	

Source: Bloomberg Finance L.P., J.P. Morgan estimates

▲ Overweight

Previous: Neutral

012330.KS, 012330 KS

Price (07 Jul 26): W489,000

Price Target (Dec-27): W710,000

Korea Auto, EV battery, Nuclear and Utility

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Quarterly Forecasts (FYE Dec)

Adj. EPS (W)

	2025A	2026E	2027E
Q1	11,086	9,715A	12,722
Q2	10,158	12,523	14,296
Q3	10,125	12,934	14,824
Q4	8,408	10,683	13,084
FY	40,290	45,856	54,926

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	6	6	8	8	36
Growth	48	32	50	53	41
Momentum	44	53	37	33	71
Quality	31	16	33	38	31
Low Vol	32	14	16	17	63
ESGQ	22	99	100	13	9

Hyundai Mobis

Actuator upside now more "call option"; upgrade to Overweight

The share price of Hyundai Mobis (Mobis) has corrected 36% from its recent peak and the risk/reward now looks more attractive after a sharp pullback. We upgrade Mobis to Overweight from Neutral as the share price now largely reflects the core business, leaving robot actuators as incremental optionality rather than fully priced expectations.

- **Key investor feedback** from our Asia marketing suggests Mobis is viewed as a "robot leverage" play: while investors largely agree that newly entering the actuator segment may not be highly profitable, the initiative could still act as a narrative catalyst, and some note the stock is a difficult short given ongoing robotics momentum and potential ETF-related flows.
- **We expect 2Q OP to be in-line with our est. of W901bn.** We expect commodity headwinds (~W950bn annual OP sensitivity from aluminium, copper, plastic, and semiconductor) to be ~70-80% passed through to OEMs with a one-quarter lag, partially offset by FX tailwinds (~W350bn annualized). Additionally, Mobis should enjoy a structural A/S profit boost, supported by rising HMG (Hyundai Motor Group) model ASPs in developed markets and a growing portion of the Genesis fleet reaching the five-year mark. Our 2Q OP estimate of W901bn (+W131bn y/y) already reflects these dynamics.
- **Valuation.** In our SOTP, the core auto parts business (W44tn) plus its stake in HMG's robotics business (W6tn) broadly explains the current market cap, with incremental upside from the actuator business, which we value at W13tn by applying a 20x P/S multiple to 2030E actuator sales of ~W0.8tn. Given the market is currently framing the actuator opportunity using a P/S lens rather than P/E, we believe improved revenue visibility alone could be sufficient to move the stock. We maintain our Dec-27 PT of W710,000 and upgrade the stock to OW.

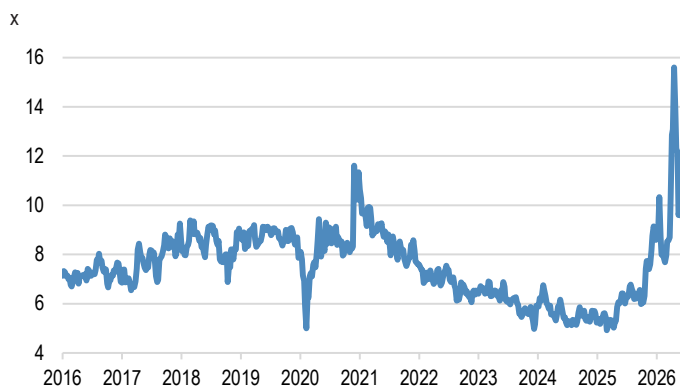
Table 6: Mobis: Valuation table

Wbn, W, x

		Value	Note
Auto parts business	(a)	44,426	
2028E net profit		5,553	
Target P/E		8x	Mid-cycle multiple based on the company's 10-year trading history
Robotics business	(b) = 12%x(c)x(1-d)	5,917	12% stake in Hyundai Motor Group's robotics business
Estimated value	(c)	70,440	Mid-point value based on our bull/bear case analysis on the robotics business (W20bn-W121bn)
Holding company discount	(d)	30%	
Actuator business	(e) = (f)/1.25x(i)	13,345	Discount 2030 actuator sales by 12% to bring to 2028 value
2030E sales	(f) = (g)x(h)	837	
ASP (\$/unit)	(g)	600	
Shipment volume (k unit)	(h)	930	30k humanoids x 31 actuators/unit
Target P/S	(i)	20x	Average of key Asia pure-play robot component suppliers
Target market cap	(a)+(b)+(e)	63,688	
Price target		710,000	

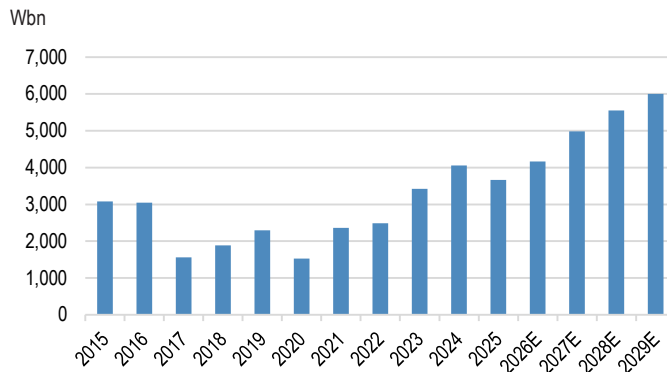
Source: J.P. Morgan estimates

Figure 1: Mobis: 1-year fwd. P/E trend



Source: Bloomberg Finance L.P.

Figure 2: Mobis: net profit trend



Source: Company data, J.P. Morgan estimates

Table 7: Mobis: Earnings summary

Wbn, %

	2022	2023	2024	2025	2026E	2027E	2028E	2029E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Sales revenue	51,906	59,254	57,237	61,118	66,211	68,389	70,465	70,912	14,752	15,936	15,032	15,398	15,561	17,490	16,648	16,512
%y/y	24%	14%	-3%	7%	8%	3%	3%	1%	6%	9%	7%	5%	5%	10%	11%	7%
OE parts (Module & Core parts)	41,697	48,372	45,152	47,800	51,446	52,886	54,066	55,565	11,474	12,607	11,675	12,044	12,042	13,761	12,888	12,756
A/S	10,210	10,883	12,085	13,318	14,765	15,503	16,278	17,092	3,278	3,330	3,357	3,354	3,519	3,730	3,760	3,756
Robot actuators							120	368								
OP	2,027	2,295	3,073	3,357	3,493	3,968	4,367	4,760	777	870	780	930	803	901	913	876
OP margin	4%	4%	5%	5%	5%	6%	6%	7%	5%	5%	5%	6%	5%	5%	5%	5%
OE parts (Module & Core parts)	68	-76	-43	76	-280	92	311	598	-100	42	-37	171	-121	-69	-64	-26
A/S	1,958	2,371	3,116	3,282	3,773	3,876	4,070	4,273	877	828	817	760	924	970	978	902
Robot actuators							-13	-4								
NP	2,487	3,423	4,060	3,665	4,162	4,984	5,553	6,003	1,032	934	931	768	883	1,136	1,174	969
NP margin	5%	6%	7%	6%	6%	7%	8%	8%	7%	6%	6%	5%	6%	6%	7%	6%

Source: Company data, J.P. Morgan estimates

Price Performance



	YTD	1m	3m	12m
Abs	30.9%	-29.3%	27.0%	66.0%
Rel	-50.8%	-23.2%	-12.3%	-84.2%

Company Data

Shares O/S (mn)	91
52-week range (W)	822,000-279,000
Market cap (\$ mn)	29,026
Exchange rate	1,528.65
Free float (%)	55.8%
3M ADV (mn)	1.21
3M ADV (\$ mn)	480.7
Volatility (90 Day)	99
Index	KOSPI
BBG ANR (Buy Hold Sell)	32 4 0

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	61,118	66,211	68,389	70,465
Adj. EBITDA	4,525	4,840	5,779	6,273
Adj. EBIT	3,357	3,493	3,968	4,367
Adj. net income	3,656	4,161	4,984	5,553
Net margin	6.0%	6.3%	7.3%	7.9%
Adj. EPS	40,290	45,856	54,926	61,202
BBG EPS	43,989	47,206	53,373	56,783
Cashflow from operations	4,473	4,448	6,467	7,149
FCFF	3,125	2,098	4,117	4,799
Margins and Growth				
Revenue Growth Y/Y (%)	6.8%	8.3%	3.3%	3.0%
EBITDA margin	7.4%	7.3%	8.5%	8.9%
EBITDA Growth Y/Y (%)	11.5%	7.0%	19.4%	8.6%
EBIT margin	5.5%	5.3%	5.8%	6.2%
Adj. EPS growth	(7.6%)	13.8%	19.8%	11.4%
Ratios				
Adj. tax rate	28.4%	22.8%	20.0%	20.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	4.7%	5.0%	5.5%	5.6%
ROE	7.7%	8.2%	9.1%	9.3%
Valuation				
FCFF yield	7.0%	4.7%	9.3%	10.8%
Dividend yield	1.3%	1.3%	1.3%	1.3%
EV/EBITDA	9.4	8.5	6.5	5.3
EV/Revenue	0.7	0.6	0.5	0.5
Adj. P/E	12.1	10.7	8.9	8.0

Summary Investment Thesis and Valuation

Investment Thesis

We upgrade Hyundai Mobis to OW as the share price has corrected 36% from its recent peak, and risk/reward now looks more attractive. At current levels, the stock largely reflects the core auto parts business (W44tn) and its stake in HMG's robotics business (W6tn), leaving the actuator opportunity (W13tn) as incremental optionality rather than fully priced expectations. With the market framing the actuators using a P/S lens, improved revenue visibility alone could be sufficient to move the stock, while structural A/S profit tailwinds and manageable commodity/FX dynamics support near-term earnings stability. We maintain our Dec-27 PT of W710,000.

Valuation

We derive our Dec-27 PT of W710,000 using an SOTP framework across three key business divisions: 1) W44tn for the auto parts business (OE + A/S), based on an 8x mid-cycle P/E (10-year historical P/E multiple); 2) the 12% stake in HMG's group-owned robotics business, valued at a 30% discount; and 3) W13tn for the actuator business, based on 20x P/S (average of key pure-play global robot component suppliers).

Performance Drivers

Market	23%
Region	15%
Macro	3%
Style	3%
Idiosyn.	56%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.57	0.48
Region: Korea	0.34	0.45
Macro:		
Generic 1st 'CO' Future	0.34	0.22
Emerging Central Bank Rate	0.12	0.14
Markit EM Composite PMI SA	-0.14	-0.10
Quant Styles:		
Momentum	0.26	0.14
Size	0.14	0.14
DivYld	-0.22	-0.09

Investment Thesis, Valuation and Risks

Hyundai Mobis (Overweight; Price Target: W710,000)

Investment Thesis

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Mobis: Valuation table

Wbn, W, x

		Value	Note
Auto parts business	(a)	44,426	
2028E net profit		5,553	
Target P/E		8x	Mid-cycle multiple based on the company's 10-year trading history
Robotics business	(b) = 12% x (c) x (1-d)	5,917	12% stake in Hyundai Motor Group's robotics business
Estimated value	(c)	70,440	Mid-point value based on our bull/bear case analysis on the robotics business (W20bn-W121bn)
Holding company discount	(d)	30%	
Actuator business	(e) = (f)/1.25 x (i)	13,345	Discount 2030 actuator sales by 12% to bring to 2028 value
2030E sales	(f) = (g) x (h)	837	
ASP (\$/unit)	(g)	600	
Shipment volume (k unit)	(h)	930	30k humanoids x 31 actuators/unit
Target P/S	(i)	20x	Average of key Asia pure-play robot component suppliers
Target market cap	(a)+(b)+(e)	63,688	
Price target		710,000	

Source: J.P. Morgan estimates

Risks to Rating and Price Target

Upside risks: 1) HMG securing external customers for its humanoid business; 2) improving visibility on HMG's robotics agenda; 3) a rebound in HMG's EV sales, easing fixed-cost pressure in Mobis' EV parts business; and 4) additional order wins from external auto OEMs.

Downside risks: 1) Delays to HMG's robotics roadmap/guidance due to technical hurdles; 2) rising competitive pressure in the actuator business from Chinese actuator suppliers; 3) a slower-than-expected turnaround in the OE parts business, mainly due to muted HMG EV sales growth; and 4) rising penetration of non-genuine parts, pressuring Mobis' genuine A/S parts sales.

Hyundai Mobis: Summary of Financials

Income Statement	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Revenue	61,118	66,211	68,389	70,465	Cash flow from operating activities	4,473	4,448	6,467	7,149
COGS	(52,288)	(56,813)	(58,266)	(59,756)	o/w Depreciation & amortization	1,168	1,347	1,811	1,906
Gross profit	8,830	9,398	10,123	10,709	o/w Changes in working capital	(530)	(1,062)	(328)	(311)
SG&A	-	-	-	-	Cash flow from investing activities	(3,234)	(2,350)	(2,350)	(2,350)
Adj. EBITDA	4,525	4,840	5,779	6,273	o/w Capital expenditure	(1,348)	(2,200)	(2,200)	(2,200)
D&A	(1,168)	(1,347)	(1,811)	(1,906)	as % of sales	2.2%	3.3%	3.2%	3.1%
Adj. EBIT	3,357	3,493	3,968	4,367	Cash flow from financing activities	(1,105)	(580)	(580)	(580)
Net Interest	225	183	183	211	o/w Dividends paid	(583)	(580)	(580)	(580)
Adj. PBT	5,115	5,391	6,230	6,942	o/w Shares issued/(repurchased)	(405)	0	0	0
Tax	(1,450)	(1,229)	(1,246)	(1,388)	o/w Net debt issued/(repaid)	(19)	0	0	0
Minority Interest	(9)	(2)	0	0	Net change in cash	134	1,518	3,537	4,219
Adj. Net Income	3,656	4,161	4,984	5,553	Adj. Free cash flow to firm	3,125	2,098	4,117	4,799
Reported EPS	40,290	45,856	54,926	61,202	y/y Growth	52.5%	(32.9%)	96.2%	16.6%
Adj. EPS	40,290	45,856	54,926	61,202					
DPS	6,500	6,500	6,500	6,500					
Payout ratio	16.1%	14.2%	11.8%	10.6%					
Shares outstanding	91	91	91	91					
Balance Sheet	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	4,922	6,440	9,977	14,197	Gross margin	14.4%	14.2%	14.8%	15.2%
Accounts receivable	10,931	11,035	11,398	11,744	EBITDA margin	7.4%	7.3%	8.5%	8.9%
Inventories	6,862	8,116	8,324	8,537	EBIT margin	5.5%	5.3%	5.8%	6.2%
Other current assets	25,293	26,651	27,221	27,780	Net profit margin	6.0%	6.3%	7.3%	7.9%
Current assets	30,366	33,243	37,350	42,129	ROE	7.7%	8.2%	9.1%	9.3%
PP&E	12,347	13,317	13,823	14,238	ROA	5.3%	5.8%	6.5%	6.8%
LT investments	24,789	24,789	24,789	24,789	ROCE	4.7%	5.0%	5.5%	5.6%
Other non current assets	26,422	26,422	26,422	26,422	SG&A/Sales	-	-	-	-
Total assets	70,401	74,280	78,926	84,148	Net debt/Equity	NM	NM	NM	NM
					Net debt/EBITDA	NM	NM	NM	NM
Short term borrowings	796	796	796	796	Sales/Assets (x)	0.9	0.9	0.9	0.9
Payables	9,172	9,469	9,711	9,959	Assets/Equity (x)	1.4	1.4	1.4	1.4
Other short term liabilities	3,089	3,089	3,089	3,089	Interest cover (x)	NM	NM	NM	NM
Current liabilities	13,058	13,354	13,597	13,845	Operating leverage	136.3%	48.3%	413.5%	331.4%
Long-term debt	1,759	1,759	1,759	1,759	Tax rate	28.4%	22.8%	20.0%	20.0%
Other long term liabilities	8,130	8,130	8,130	8,130	Revenue y/y Growth	6.8%	8.3%	3.3%	3.0%
Total liabilities	21,188	21,484	21,726	21,975	EBITDA y/y Growth	11.5%	7.0%	19.4%	8.6%
Shareholders' equity	49,168	52,749	57,153	62,126	EPS y/y Growth	(7.6%)	13.8%	19.8%	11.4%
Minority interests	45	47	47	47	Valuation	FY25A	FY26E	FY27E	FY28E
Total liabilities & equity	70,401	74,280	78,926	84,148	P/E (x)	12.1	10.7	8.9	8.0
BVPS	551,325	591,480	640,864	696,634	P/BV (x)	0.9	0.8	0.8	0.7
y/y Growth	8.3%	7.3%	8.3%	8.7%	EV/EBITDA (x)	9.4	8.5	6.5	5.3
					Dividend Yield	1.3%	1.3%	1.3%	1.3%
Net debt/(cash)	(1,797)	(3,315)	(6,852)	(11,072)					

Note: W in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

▲ Neutral

Previous: Underweight

204320.KS, 204320 KS

Price (07 Jul 26): W48,600

Price Target (Dec-27): W50,000

Korea Auto, EV battery, Nuclear and Utility

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J.P. Morgan Securities (Far East) Limited, Seoul Branch

Quarterly Forecasts (FYE Dec)

Adj. EPS (W)

	2025A	2026E	2027E
Q1	594	1,017A	907
Q2	96	907	1,109
Q3	930	840	1,031
Q4	510	791	980
FY	2,130	3,556	4,027

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	36	23	33	44	38
Growth	72	84	69	1	2
Momentum	56	88	47	55	20
Quality	77	72	65	33	75
Low Vol	62	63	67	47	89

HL Mando

Risk/reward more balanced after 37% pullback from the peak; upgrade to Neutral

The share price of HL Mando (Mando) has corrected 37% from its recent peak and the risk/reward now looks more attractive after a sharp pullback. We upgrade Mando to Neutral from Underweight as the share price now largely reflects the core auto parts franchise, with actuators representing incremental optionality.

- **Key investor feedback** from our Asia marketing frames Mando as a "robot leverage" play; investors largely agree with our fundamental view that entering the actuator segment may not be highly profitable, but the initiative could still act as a narrative catalyst, with some noting the stock has corrected sufficiently and is a difficult short given ongoing robotics momentum and potential ETF-related flows.
- **We expect 2Q to be a non-event.** We expect commodity headwinds (~W150bn annual OP sensitivity from aluminium, copper, plastics, and semiconductors) to be ~70-80% passed through to OEMs with a one-quarter lag, partially offset by FX tailwinds (~W25bn annualized). Our 2Q OP estimate of W104bn (flat y/y) already reflects these dynamics.
- **Valuation.** We still see limited visibility on actuator order wins and therefore do not assign meaningful "benefit of the doubt" to actuators; however, the stock is effectively supported by the implied value of the core auto parts business (W2.3tn), which already aligns with the current market cap. We maintain our Dec-27 PT of W50,000 and upgrade the stock to Neutral.

Table 8: Mando: Valuation table

W/share, x

Price Target (W/share, rounded)	50,000
2028E EPS (W)	4,526
Target P/E	11.0x Mid-cycle multiple based on the company's 10-year trading history

Source: J.P. Morgan estimates

Table 9: Mando: Earnings summary

Wbn, %

	2022	2023	2024	2025	2026E	2027E	2028E	2029E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Sales revenue	7,516	8,393	8,848	9,455	9,893	10,382	10,812	11,243	2,271	2,401	2,321	2,462	2,312	2,536	2,450	2,595
%y/y	22%	12%	5%	7%	5%	5%	4%	4%	8%	12%	7%	2%	2%	6%	6%	5%
OP	248	279	359	357	389	436	470	506	79	104	94	80	94	104	98	93
OP margin	3%	3%	4%	4%	4%	4%	4%	5%	3%	4%	4%	3%	4%	4%	4%	4%
NP	118	155	158	123	187	209	233	256	35	10	49	29	53	48	44	42
NP margin	2%	2%	2%	1%	2%	2%	2%	2%	2%	0%	2%	1%	2%	2%	2%	2%
NP to parent	98	136	130	100	167	189	213	236	28	4	44	24	48	43	39	37

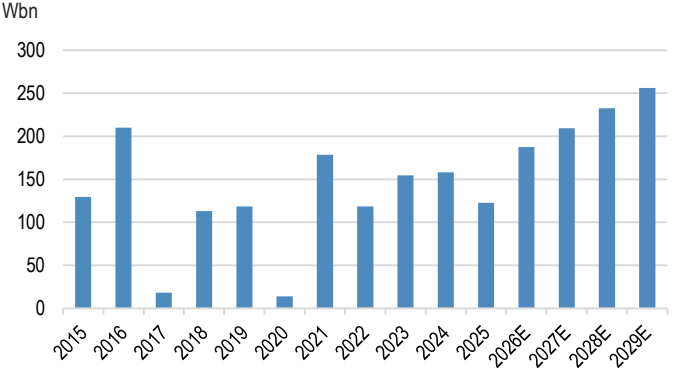
Source: Company data, J.P. Morgan estimates

Figure 3: Mando: 1-year fwd. P/E trend



Source: Bloomberg Finance L.P.

Figure 4: Mando: net profit trend



Source: Company data, J.P. Morgan estimates

Price Performance



	YTD	1m	3m	12m
Abs	-17.6%	-11.3%	2.2%	44.4%
Rel	-99.3%	-5.1%	-37.1%	-105.8%

Company Data

Shares O/S (mn)	47
52-week range (W)	79,100-32,150
Market cap (\$ mn)	1,493
Exchange rate	1,528.65
Free float (%)	57.7%
3M ADV (mn)	1.82
3M ADV (\$ mn)	74.6
Volatility (90 Day)	94
Index	KOSPI
BBG ANR (Buy Hold Sell)	23 5 1

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	9,455	9,893	10,382	10,812
Adj. EBITDA	718	774	832	876
Adj. EBIT	357	389	436	470
Adj. net income	100	167	189	213
Net margin	1.1%	1.7%	1.8%	2.0%
Adj. EPS	2,130	3,556	4,027	4,526
BBG EPS	2,856	4,097	4,877	5,609
Cashflow from operations	721	773	567	605
FCFF	377	323	117	155
Margins and Growth				
Revenue Growth Y/Y (%)	6.9%	4.6%	4.9%	4.1%
EBITDA margin	7.6%	7.8%	8.0%	8.1%
EBITDA Growth Y/Y (%)	3.5%	7.7%	7.6%	5.3%
EBIT margin	3.8%	3.9%	4.2%	4.3%
Adj. EPS growth	(23.0%)	66.9%	13.2%	12.4%
Ratios				
Adj. tax rate	43.6%	39.5%	40.0%	40.0%
Interest cover	8.2	8.0	9.5	10.6
Net debt/Equity	0.4	0.3	0.2	0.2
Net debt/EBITDA	1.6	1.1	0.9	0.7
ROCE	4.4%	5.0%	5.4%	5.6%
ROE	3.8%	6.0%	6.5%	6.9%
Valuation				
FCFF yield	16.5%	14.2%	5.1%	6.8%
Dividend yield	1.5%	1.5%	1.5%	1.5%
EV/EBITDA	5.0	4.3	3.9	3.6
EV/Revenue	0.4	0.3	0.3	0.3
Adj. P/E	22.8	13.7	12.1	10.7

Summary Investment Thesis and Valuation

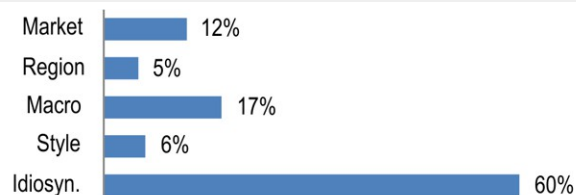
Investment Thesis

We upgrade HL Mando to Neutral as the share price has corrected 37% from its recent peak within a month, and risk/reward now looks more attractive. At current levels, the stock is effectively supported by the implied value of the core auto parts business (W2.3tn), which already aligns with the current market cap, while actuators represent incremental optionality. We still see limited visibility on actuator order wins and therefore do not assign meaningful "benefit of the doubt," but the stock is a difficult short given ongoing robotics momentum and potential ETF-related flows. We maintain our Dec-27 PT of W50,000.

Valuation

We derive our Dec-27 PT of W50,000 by applying a 11x mid-cycle P/E (10-year historical average) multiple to 2028E earnings. Compared to Mobis, Mando is often viewed as a pure-play on OE parts with a more diversified customer base, which has driven greater swing in multiple and supported a higher average multiple vs. peers.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.47	0.43
Region: Korea	0.02	0.23
Macro:		
JPM China A-shares Sentiment	-0.47	-0.32
US 10 Year Yield	0.10	0.17
JP Morgan EMBI Global Spread	-0.16	-0.17
Quant Styles:		
Value	0.27	0.17
Size	0.26	0.14
DivYld	0.10	0.11

Investment Thesis, Valuation and Risks

HL Mando *(Neutral; Price Target: W50,000)*

Investment Thesis

We upgrade HL Mando to Neutral as the share price has corrected 37% from its recent peak within a month, and risk/reward now looks more attractive. At current levels, the stock is effectively supported by the implied value of the core auto parts business (W2.3tn), which already aligns with the current market cap, while actuators represent incremental optionality. We still see limited visibility on actuator order wins and therefore do not assign meaningful "benefit of the doubt," but the stock is a difficult short given ongoing robotics momentum and potential ETF-related flows. We maintain our Dec-27 PT of W50,000.

Valuation

We derive our Dec-27 PT of W50,000 by applying a 11x mid-cycle P/E (10-year historical average) multiple to 2028E earnings. Compared to Mobis, Mando is often viewed as a pure-play on OE parts with a more diversified customer base, which has driven greater swing in multiple and supported a higher average multiple vs. peers.

Risks to Rating and Price Target

Upside risks: 1) Formal actuator order wins from robotics companies; 2) strong volume growth at key customers (HMG, US and Chinese OEMs); and 3) profit margin expansion.

Downside risks: 1) Delays in actuator order wins; 2) rising competitive pressure in actuators from Chinese suppliers; 3) increasing margin pressure from auto OEMs; and 4) weaker-than-expected volumes at key customers.

HL Mando: Summary of Financials

Income Statement	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Revenue	9,455	9,893	10,382	10,812	Cash flow from operating activities	721	773	567	605
COGS	(8,011)	(8,515)	(8,908)	(9,261)	o/w Depreciation & amortization	361	384	396	406
Gross profit	1,444	1,378	1,474	1,551	o/w Changes in working capital	201	201	(39)	(33)
SG&A	(786)	(693)	(727)	(757)	Cash flow from investing activities	(364)	(450)	(450)	(450)
Adj. EBITDA	718	774	832	876	o/w Capital expenditure	(344)	(400)	(400)	(400)
D&A	(361)	(384)	(396)	(406)	as % of sales	3.6%	4.0%	3.9%	3.7%
Adj. EBIT	357	389	436	470	Cash flow from financing activities	(93)	(35)	(35)	(35)
Net Interest	(88)	(97)	(87)	(83)	o/w Dividends paid	(52)	(35)	(35)	(35)
Adj. PBT	218	310	349	388	o/w Shares issued/(repurchased)	0	0	0	0
Tax	(95)	(122)	(139)	(155)	o/w Net debt issued/(repaid)	(105)	0	0	0
Minority Interest	(23)	(20)	(20)	(20)	Net change in cash	264	288	81	120
Adj. Net Income	100	167	189	213	Adj. Free cash flow to firm	377	323	117	155
Reported EPS	2,130	3,556	4,027	4,526	y/y Growth	201.3%	(14.3%)	(63.9%)	33.3%
Adj. EPS	2,130	3,556	4,027	4,526					
DPS	750	750	750	750					
Payout ratio	35.2%	21.1%	18.6%	16.6%					
Shares outstanding	47	47	47	47					
Balance Sheet	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	800	1,087	1,169	1,289	Gross margin	15.3%	13.9%	14.2%	14.3%
Accounts receivable	1,978	1,979	2,076	2,162	EBITDA margin	7.6%	7.8%	8.0%	8.1%
Inventories	805	851	891	926	EBIT margin	3.8%	3.9%	4.2%	4.3%
Other current assets	2,900	2,947	3,084	3,206	Net profit margin	1.1%	1.7%	1.8%	2.0%
Current assets	3,719	4,055	4,273	4,514	ROE	3.8%	6.0%	6.5%	6.9%
PP&E	2,560	2,614	2,658	2,694	ROA	1.4%	2.3%	2.5%	2.7%
LT investments	222	222	222	222	ROCE	4.4%	5.0%	5.4%	5.6%
Other non current assets	628	628	628	628	SG&A/Sales	8.3%	7.0%	7.0%	7.0%
Total assets	7,137	7,537	7,810	8,095	Net debt/Equity	0.4	0.3	0.2	0.2
Short term borrowings	989	989	989	989	Net debt/EBITDA	1.6	1.1	0.9	0.7
Payables	1,880	2,129	2,227	2,315	Sales/Assets (x)	1.3	1.3	1.4	1.4
Other short term liabilities	178	178	178	178	Assets/Equity (x)	2.7	2.6	2.6	2.6
Current liabilities	3,047	3,296	3,394	3,482	Interest cover (x)	8.2	8.0	9.5	10.6
Long-term debt	966	966	966	966	Operating leverage	(6.7%)	192.6%	243.3%	190.3%
Other long term liabilities	1,214	1,214	1,214	1,214	Tax rate	43.6%	39.5%	40.0%	40.0%
Total liabilities	4,261	4,509	4,608	4,696	Revenue y/y Growth	6.9%	4.6%	4.9%	4.1%
Shareholders' equity	2,714	2,846	2,999	3,177	EBITDA y/y Growth	3.5%	7.7%	7.6%	5.3%
Minority interests	162	182	202	222	EPS y/y Growth	(23.0%)	66.9%	13.2%	12.4%
Total liabilities & equity	7,137	7,537	7,810	8,095	Valuation	FY25A	FY26E	FY27E	FY28E
BVPS	57,793	60,600	63,877	67,653	P/E (x)	22.8	13.7	12.1	10.7
y/y Growth	7.8%	4.9%	5.4%	5.9%	P/BV (x)	0.8	0.8	0.8	0.7
Net debt/(cash)	1,135	847	766	646	EV/EBITDA (x)	5.0	4.3	3.9	3.6
					Dividend Yield	1.5%	1.5%	1.5%	1.5%

Source: Company reports and J.P. Morgan estimates.

Note: W in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Hyundai Mobis (012330.KS, 012330 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
28-Jul-23	OW	234000	290,000
28-Oct-23	OW	220000	300,000
06-Dec-23	OW	225000	310,000
26-Jan-24	OW	209500	280,000
26-Apr-24	OW	244000	300,000
25-Oct-24	OW	250000	330,000
19-Jun-26	N	606000	710,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 02, 2001. All share prices are as of market close on the previous business day.
Break in coverage Apr 25, 2025 - Jun 19, 2026.

HL Mando (204320.KS, 204320 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
27-Oct-23	OW	35700	52,000
06-Dec-23	OW	34900	50,000
06-Feb-24	OW	36850	45,000
11-Jun-24	N	46750	50,000
26-Jul-24	OW	39000	50,000
19-Jun-26	UW	69200	50,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 07, 2014. All share prices are as of market close on the previous business day.
Break in coverage Apr 25, 2025 - Jun 19, 2026.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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Coverage Universe: Lee, Sonny : Doosan Enerbility (034020.KS), Ecopro BM (247540.KQ), HL Mando (204320.KS), Hyundai Autoever (307950.KS), Hyundai E&C (000720.KS), Hyundai Mobis (012330.KS), Hyundai Motor Company (005380.KS), KEPCO (015760.KS), KEPCO E&C (052690.KS), Kia Corp (000270.KS), L&F (066970.KQ), POSCO (005490.KS), POSCO Future M (003670.KS), Samsung SDI (006400.KS)

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IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

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